
ECONOMICS

0455/21

Paper 2 Structured Questions

**Predicted
Moderate**

2 hours 15 minutes

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer four questions in total:
- Section A: answer Question 1.
- Section B: answer three questions.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 90.
 - The number of marks for each question or part question is shown in brackets [].
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This document has 8 pages. Any blank pages are indicated.

Section A

Read the source material carefully before answering Question 1.

Source material: What drives Thailand's economic success?

Thailand fact file	2023
Population	71.8 m
Labour force	40.3 m
Unemployment rate	1.1 %
Economic growth rate	2.5 %
Tourism as a percentage of GDP	12.0 %

Thailand is a mixed economy in South-East Asia. Tourism is one of the country's largest industries. A 10% fall in the price of airline tickets to Thailand led to a 15% rise in the number of tourists visiting. The country's central bank, the Bank of Thailand, aims to keep the inflation rate within a target range of 1% to 3%.

In 2023, Thailand recorded a current account surplus of \$6.3bn. Exports of goods and services rose by 4%. Although the Thai baht appreciated against the US dollar during the year, export industries continued to grow. Wages in the manufacturing sector rose faster than the general rate of inflation.

The Thai government uses taxation to raise revenue and influence economic activity. It levies an indirect tax on most goods and services, a progressive income tax on households, and a corporation tax on firms. Government spending on education and healthcare has risen each year since 2018. Table 1.1 compares tax revenue as a percentage of GDP in Thailand with three other economies in the region.

Table 1.1 Tax revenue as a percentage of GDP and GDP per head in selected countries in 2023

Country	Tax revenue as % of GDP	GDP per head (\$)
Singapore	13	84 500
Malaysia	12	13 300
Thailand	17	7 500
Vietnam	19	4 300
Philippines	14	3 900

Many Thai manufacturing firms are small, although a small number of large multinational companies (MNCs) operate in the car-assembly and electronics sectors. Small firms in Thailand find it harder to access bank credit than large firms.

Thailand is the world's second largest producer of natural rubber. Global demand for natural rubber continues to grow as the demand for vehicles and medical equipment expands. This may increase Thailand's rubber output and exports in the future.

Answer all parts of Question 1. Refer to the source material in your answers.

1

- (a)** Calculate the price elasticity of demand for airline tickets to Thailand. [1]
- (b)** Identify two objectives of the Bank of Thailand. [2]
- (c)** Explain one feature of a mixed economy. [2]
- (d)** Explain two reasons why a government may impose a progressive income tax. [4]
- (e)** Analyse the relationship between tax revenue as a percentage of GDP and GDP per head. [4]
- (f)** Analyse, using a demand and supply diagram, how an increase in global demand for natural rubber could affect the market for rubber in Thailand. [5]
- (g)** Discuss whether or not an appreciation of the Thai baht will harm the Thai economy. [6]
- (h)** Discuss whether or not small firms in Thailand should be given more support by the government. [6]

[Total: 30]

Section B

Answer any three questions.

Each question is introduced by stimulus material. In your answers you may refer to the material and/or other examples you have studied.

- 2** In 2023, Vietnam's labour force grew and the number of women in paid employment rose. The country's central bank reduced the bank rate to support consumer spending. Vietnam is known for its large garment and footwear exports.

- (a)** Identify two causes of an increase in the size of a country's labour force. [2]
- (b)** Explain two reasons why a central bank may reduce the bank rate. [4]
- (c)** Analyse how a rise in the participation of women in the labour force may benefit an economy. [6]
- (d)** Discuss whether or not a country should rely on garment and footwear exports. [8]

[Total: 20]

- 3** The United Arab Emirates has a free-market approach but its government intervenes in some markets to correct externalities. Demand for education, a merit good, has grown rapidly as incomes have risen.

- (a)** Define merit good. [2]
- (b)** Explain two ways a government can encourage the consumption of a merit good. [4]
- (c)** Analyse why private and external benefits can differ. [6]
- (d)** Discuss whether or not government intervention always improves the allocation of resources. [8]

[Total: 20]

- 4** Mexico is a large producer of cars. In 2023, several multinational car companies (MNCs) increased production in Mexico after raising wages. Some production was transferred from the USA to Mexico.

- (a)** Identify two characteristics of a multinational company (MNC). [2]
- (b)** Explain two benefits to a host country of an MNC operating within it. [4]
- (c)** Analyse why wages may rise in an expanding industry. [6]
- (d)** Discuss whether or not an MNC will remain in a host country if wages rise. [8]

[Total: 20]

- 5** Japan's population is ageing rapidly. The proportion of people aged over 65 exceeds 29%. Consumer spending on healthcare has risen, while spending on education has fallen.

- (a)** Define dependency ratio. [2]
- (b)** Explain two reasons why people are living longer in Japan. [4]
- (c)** Analyse the consequences of an ageing population for government spending. [6]
- (d)** Discuss whether or not a country will benefit from an increase in the retirement age. [8]

[Total: 20]

END OF PAPER